

Interrogating Social and Solidarity Economies Following Marxian Class Focused Approach: Evidence from India

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Abstract

We use a class-focused Marxian approach to examine non-capitalist firms within the Social and Solidarity Economy (SSE) sector in India and draw some theoretical conclusions from it. Cooperatives, labour supply contracts, farmer producer organisations, mutuals, peoples' credit societies, local alternative currencies—all such initiatives are covered by the umbrella term SSE. This article focuses on generating some broad-based criteria for conceptualising and assessing the successes and failures of firms within the SSE sector; maintaining non-exploitative class processes for a considerable period of time is a good measure of the success of an enterprise within the SSE sector. To this end, three case studies—a Farmer Producer organisation (FPO), handloom weavers' cooperatives and Timbaktu Collective—have been used to show the impact on the existing class processes and non-class processes. By methodologically following overdetermined interrelationships between SSEs, trade unions and political parties, both of the importance of actual and possible avenues of intervention by way of class and non-class struggles have been pointed out towards the end.

Keywords

Social and solidarity economies, political economy, cooperatives, Marxian class focused approach, class struggle

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I. Introduction

Praxis happening in India for decades as non-capitalist firms within the Social and Solidarity Economy (SSE) sector are in need of theoretical explication. This article is an attempt to fill this gap and it has been intended to unpack in detail and deploy concepts emanating from the frontier of Marxian theory in order to interrogate such initiatives, that is, SSEs in India. In order to embark upon this journey, it is imperative to build a coherent theoretical terrain, within which arguments, deliberations, judgments can be provided in a comparative and comprehensive way. Moreover, such a theoretical rendition coupled with analysis of case studies would provide some concrete guidelines for the policymakers as well as for the political practitioners and for political parties.

A central normative aspect in the doctrine of Marxism is the idea of justice; implying a society in which production processes are non-exploitative. Moreover, it has been argued that the theory of historical materialism (Majumdar, 2018) may not cohere well with this idea of justice (Jain, 2019). In this article in order to pursue Marxian idea of justice, that is, development of production process free from exploitation, the class-focused Marxian approach can be applied since this approach has already rigorously dealt with and come to a resolution regarding the issue of historical materialism (Chakrabarti & Cullenburg, 2003). Here the interest in SSEs, has been motivated by this normative concern for a form of production that would be non-exploitative in the Marxian sense, that is, where appropriation and distribution of the surplus are done collectively by the direct producers and not by the non-producers (Marx, 1990; Wolff, 2012).

The theoretical contour that has been followed in this article is that of the class-focused Marxian approach (Chakrabarti et al., 2016; Resnick & Wolff, 1987). This article attempts to show that this novel theoretical frame is providing a suitable framework to study the diverse activities happening within the SSE sector. It transpires that multifarious nature of Indian SSEs is in need of lights from contending theoretical positions (Dash, 2015) so as to germinate a nuanced understanding about such enterprises and this paper provides one such theoretical rendition—about what it is, how it operates, why it exists, how are these attempts different from capitalist endeavours, what are the transformative potentials of these non-capitalist initiatives, etc. Covering all these issues is beyond the scope of this particular paper yet it must be pointed out here that these are some of the most provoking issues at present. Such issues have received their due importance in the context of western countries and waiting for due attention here in the Indian context and such engagements may pollinate research projects in multiple disciplines (such as Economics, Sociology, Political Science) in the near future. One crucial objective of this paper is to chisel out a nuanced understanding of SSEs in India using the lens of class. Another objective is to eke out theoretical insights from the ongoing praxis regarding the possibilities of transforming exploitative processes into non-exploitative ones.

Before moving ahead, it would be pertinent to explicitly discuss the content of SSEs. Although a well-accepted, convincing definition of SSE is in the making, following is a tentative and workable definition of the SSE sector: Social innovation is the basis of SSE... Today the SSE landscape is replete with such innovations oriented to 'correct the flaws' in the capitalist system, seeking to bring 'social content and moral purpose', 'environmental focus' and a 'democratic character' to capital. Organisationally, the SSE blends values (economic with social, moral and environmental), may even be hybrid in form, but it is not structured around the owner-worker hierarchy, or focused on the narrow economism of maximising only the financial returns at the expense of all other values. With a democratic governance structure these organisations are rooted in the local social fabric, based on solidarity, trust, cooperation and community spirit that drive bottom-up practices of sustainable development... (Dash, 2015, p.7).

What comes under the rubric of SSE? According to Dash (2015), cooperatives¹, labour supply contracts, Farmer Producer Companies/organisations, mutuals, peoples' credit societies, local alternative currencies—all such initiatives are covered by the umbrella term SSE. Despite the lack of initiatives, a good number of SSEs in production, marketing, credit and other areas have emerged and persisted over many decades (Motiram & Vakulabharanam, 2007). Therefore, the lack of interest does not seem to be justified, given the importance of SSEs in the lives of thousands of people in India. It is intriguing to note that not all of these initiatives (SSE) have been started by communist parties; rather, many of them have been started by institutions like the state, independent peoples' movements, non-government organisations (NGOs), civil society activists and even spiritual organisations. In this backdrop, the main focus of this study lies in the following research questions: how do we theorise the Indian SSE sector from a Marxian tradition? What are the lessons emanating from the ongoing praxis of SSEs in India? In order to interrogate these research questions, a theoretical journey has firstly been undertaken by unpacking the conceptual tools of Marxian class-focused approach and secondly, important insights have been gathered by delving deeper into three case studies.

The trajectory of this article can be summarised in the following way: in the next section, the basic schema of the class-focused Marxian approach (Chakrabarti et al., 2016; Resnick & Wolff, 1987) has been explained by pointing out its relationship with SSEs. With this theoretical frame as the backdrop, an attempt has been made to briefly point out the criteria for evaluating SSEs in India. In order to appropriately apply this theoretical framework, some carefully chosen case studies have been presented in the next section in order to gain insights from observing the ongoing praxis in the Indian SSE sector in light of Marxian theory (Jossa, 2005). Moreover, the theoretical insights from these case studies, including the importance of class process and class struggle enable a discussion on the possibilities of alternative conceptions of firm and the role they can play in the politics of transforming the social. The last section concludes the paper by mentioning the limitations of this study and the scope of future research work.

II. Marxian Class-Focused Approach and SSE

In studying SSEs, Dash (2015) has argued in favour of approaches that build up inductively following the sociocultural and historical-temporal contexts using qualitative research methods. The class-focused Marxian approach that has been deployed here for studying the Indian SSE sector does not contradict such an idea from epistemological and ontological perspectives. The perspective followed in this paper is drawn from the works of Stephen Resnick and Richard Wolff (1987, 2002) who took the concept of class as the entry point of Marxian social theory. Following their works, Chakrabarti et al. (2012), Chakrabarti et al. (2016) have developed a class-focused Marxian framework for developing countries like India. As per Chakrabarti et al. (2012), even though the economy is decentred and dis-aggregated, capitalist class process and global-capitalism is playing a hegemonic role in this economic-setting. According to this theoretical framework, society has been theorised as a totality of ‘overdetermined’ processes and, therefore, devoid of any ‘essence’ that is supposed to ‘determine’. In other words, the concept of overdetermination has been deployed to overcome the determinism that underlies various interpretations of Marx’s writings. In this approach, the class process is understood as a distinct social process of performing and appropriating surplus labour. However, what distinguishes this approach from the others is that the class process is seen as being overdetermined by all non-class processes existing within the social totality. People participate in class processes and thereby occupy class positions. While some of them who are called the ‘direct producers’ perform necessary and surplus labour, others extract or appropriate surplus labour. It is important to note here that an individual can occupy more than one class position. Following Chakrabarti et al. (2016), three possibilities regarding the types of class processes can be pointed out—exploitative, non-exploitative and self-appropriating.

In Table 1, ‘A’ depicts direct labour who are directly producing goods and services, ‘B’ depicts non-labour inferring an individual or a group who is not producing any goods and services directly but nevertheless appropriate surplus while ‘C’ depicts the mass of collective labourers who together produce goods and services. Moreover, Table 1 shows combinations such as AA, AB, etc. The first alphabet represents the production of surplus labour (performance) while the second alphabet refers to the appropriation of surplus labour. Here, among all these class processes, two different types of class-processes can be demarcated—exploitative and non-exploitative. AA, AC and CC refer to the independent class

Table 1. Different Forms of Performance and Appropriation of Surplus Labour

	Appropriation	Direct Labour (A)	Non-Labour (B)	Collective Labour (C)
Performance		AA	AB	AC
		CA	CB	CC

Source: Chakrabarti et al. (2016, p. 9).

process, the communitic class process and the communistic class process, respectively, all of which are non-exploitative. On the other hand, AB, CB, etc. imply different kinds of exploitative class processes. The independent class process AA can be understood as a standard self-employed person who produces as well as appropriates the surplus himself/herself; AC can be conceptualised as an example of a marketing cooperative in which production is individualistic yet marketing is collective and surplus is collectively appropriated and distributed; CC can be understood from the example of any standard producers' cooperative in which the surplus is produced as well as appropriated collectively; CB can be understood as a capitalist class process where the surplus is produced by collective labour but is appropriated by non-labouring capitalists; AB can be understood from the example of an individualistic home-based production process, which is very common in the Indian informal sector, where the appropriation is conducted by a non-producing intermediary who collects the products and sells them to appropriate the surplus.

It is important to note that the performance and appropriation of surplus labour come under the fundamental class process (FCP) while the distribution and receipt of surplus labour come under the subsumed class process (SCP); moreover, there are important non-class processes that have important bearings on the existence and proliferation of any class process. For example, non-class² processes in the legal, political and cultural arena have important bearings on the existence and proliferation of the capitalist class process. In order to understand the Indian scenario, it is important to point out the non-class processes such as caste, gender and so on. Unlike classical Marxism (referring to the approach of historical materialism), this class-focused Marxian approach claims that the potentially infinite complexity of class processes can co-exist at a particular time-space without any need to collapse all such varieties to one mode of production. This approach is non-deterministic; that is why it is both at the epistemological and ontological level suitable for exploring the diverse organisations prevailing in various firms under SSEs. Adding to this, as per this class-focused approach, a firm is not only an economic institution but also a social institution since it comprises of a cluster of class and non-class processes. Interrogating the different enterprises within the SSE sector can be conducted by first focusing on self-employment.

Self-Employment

According to the classical understanding of the working-class, self-employment is either an economic aberration or a relic of the past. However, empirically, this is not the case in India as the number of self-employed persons is quite significant in rural as well as in urban India (Basole & Basu, 2011). As per Table 1, self-employment comes under the AA class process or as an independent class enterprise in which self-appropriation of the surplus is carried out by the direct producer. Yet, it must be noted that self-employment may not be a non-exploitative class process always; rather, in the context of the Indian informal sector, apparent

self-employment arrangements almost always hide an exploitative element in reality. This is because in the case of self-employment, the producers often depend on another party for marketing purposes. The contract with this party happens in such a way that the party collects the produce from the self-employed household, who are the direct producers, and appropriates the surplus value themselves. Surplus value is simply the difference between the final price received by the intermediary (i.e., the marketing agent) and the wage paid to the self-employed worker (Hotch, 2000), plus the cost of means of production and raw materials. Hence, in this way, an apparent AA class process may actually become an AB class process in which the individual who performs surplus labour and the one who appropriates it are not the same. Sometimes, this type of an arrangement is very suitable for capitalists (including even global capital) because of the following reasons—one, the cost of monitoring can be curtailed to a significant extent through the stringent piece-rate contracts; two, the overhead costs of setting up office spaces or work-sheds is absent and three, laws of the land, including labour laws and taxation laws, can be evaded effortlessly under such arrangements. Moreover, under such individualistic home-based production arrangements, often the wage earned by a self-employed worker (i.e., the direct producer) may not cover his/her necessary labour equivalent. Such an exploitative process has been conceptualised as super-exploitation. Super-exploitation is the harsh reality of the Indian informal sector. Can SSEs intervene in such a setting and provide at least some solutions? This issue will be taken up in the upcoming section on transformative politics.

b. Gender and Household

Another important aspect that requires attention is the issue of female workforce participation in the arena of the Indian informal sector. Self-employed women workers are classified as—(a) own account enterprise, (b) employers and (c) unpaid family workers. Among these, there has been a decline in the share of women workers in the first two categories while a rise in the share of women in the third category has been observed (NCEUS, 2009). Hence, the issue of unpaid women family workers has become vital. The possibility of super-exploitation of the self-employed male workers often retains a portion of invisible labour by women in it, which is also appropriated by the intermediary as surplus labour. Most importantly, these labouring activities of women remain unpaid as well as unacknowledged (Swaminathan, 2009). What kind of interventions can SSEs offer in order to improve the status of these unpaid women workers? An attempt to answer this question has been made in the upcoming section on class-struggle.

Transition and Class Sets

It must be noted that according to the class-focused Marxian approach, transition does not refer to big-bang changes; rather, it focuses on micro changes (Gibson-Graham, 2006a). Hence, this approach is suitable for studying the SSE sector in

order to understand the micro changes that are promoted by the enterprises and initiatives in this sector. Table 2 has been adopted from Chakrabarti et al. (2016). For this paper, it is important to focus on a few aspects of this table. First, note that the class sets {1,8} refer to home-based production in which the non-wage part is important. Further, in case of the non-wage portion, it is often female labour and child labour that have usually been appropriated as surplus labour. Hence, a move from class set 3 to class set 1 would be a significant transition irrespective of the wage rate, since it is important for improving the dignity and status of women. Second, the transition from AB {5,8} to AC {13,16} means transition from an exploitative class process to a non-exploitative one. It will be shown in the empirical section that the SSE sector can play a very crucial role in this regard.

Table 2. Class Sets

Sl. No.	Performance of Surplus Labour	Worker's Access to Appropriate Surplus	Output Distribution	Worker's Remuneration
1	A	A	Com	Wage
2	A	A	Non-com	Wage
3	A	A	Com	Non-wage
4	A	A	Non-com	Non-wage
5	A	B	Com	Wage
6	A	B	Non-com	Wage
7	A	B	Com	Non-wage
8	A	B	Non-com	Non-wage
9	C	A	Com	Wage
10	C	A	Non-com	Wage
11	C	A	Com	Non-wage
12	C	A	Non-com	Non-wage
13	A	C	Com	Wage
14	A	C	Non-com	Wage
15	A	C	Com	Non-wage
16	A	C	Non-com	Wage
17	C	B	Com	Wage
18	C	B	Non-com	Wage
19	C	B	Com	Non-wage
20	C	B	Non-com	Non-wage
21	C	C	Com	Wage
22	C	C	Non-com	Wage
23	C	C	Com	Non-wage
24	C	C	Non-com	Non-wage

Source: Chakrabarti et al. (2016, p. 151).

Table 3. Marxian Criteria of Successes and Failures in Non-Exploitative Enterprises Within SSEs

Criteria	Description
CC mode	For an enterprise under the SSE sector to be considered successful, its ability to sustain a CC or AC mode, in the long run, is of critical importance.
Hired labour	Other than the members, the number of hired labour should remain in check—else exploitation of hired labour may turn such an enterprise into an exploitative enterprise (i.e., from CC to CB).
Distribution of surplus	Surplus should be distributed with the participation of the direct producers.
Assembly	Regular assembly is another key factor for a successful enterprise within the SSE sector. Through this, the election of board members should happen and important decisions should be made.
Subject-cultivation	If a non-exploitative enterprise can contribute towards subject cultivation, it should be considered a success.

Source: The author.

Apart from AB to AC, another transition towards non-exploitative enterprises can happen by moving towards different class sets following the CC class process. The speciality of this elaborated schema of class sets is that it is possible to even focus on the dynamics within a particular class process here. If micro-changes happen from non-wage to wage due to a progressive struggle within an AB or CB class process, say from class set 7 to class set 5 for example, it would imply a significant change in the condition of workers.

A Note on Assessing Failures and Successes of SSEs

The next task is to assess the performances of enterprises within the SSE sector based on this Marxian class-focused approach. One way to do so is to see whether a non-exploitative enterprise is able to sustain its CC or AC class process over time. For example, if a cooperative is able to maintain its CC class process for a considerable amount of time, it is more important to enquire into the kinds of interactions with other class processes and non-class processes through which this result was achieved than simply calling it a success or a good performance. It may lead to a nuanced and enlightening picture of the interactions among the fundamental class process, the subsumed class process and the non-class processes that led to the successful result. This is because, in a system dominated by exploitative class processes like the capitalist class process, it is not easy to establish a non-exploitative class process like the CC in one cooperative enterprise. Other processes, that is, social and cultural processes, may not remain conducive for the proliferation of the cooperatives. The established CB type capitalist class processes have developed their conditions of existence by developing social and cultural processes according to their requirement. Also, if a cooperative eventually moves from a CC type class process to a CB due to various interactions with

different processes, it would originally become a follower of an exploitative capitalist class process notwithstanding its legal form or even the cooperative tag that it carries. Here again, it will be more relevant to find out the kind of interactions between the different processes and the conditions that are responsible for the relegation from a CC to a CB class process rather than celebrating or mourning the failure. Hence, for assessing successes or failures, the focus should remain on two things—one, on the issue of continuation of a non-exploitative class process and two, on the complex interactions of the different class and non-class processes that are influencing the outcome in an overdetermined way.

In Table 3, the criteria for assessing the successes and failures of non-exploitative enterprises within the SSE sector have been summarised. Enterprises under the SSE sector that adhere to all these points, or at least to a majority of these points, can be termed as successful enterprises. Maintaining a CC or AC mode in the long-run is crucial. Further, at times these enterprises limit the number of memberships and hire labour for lesser pecuniary benefits that may lead to exploitative practices; hence, this practice should be avoided as much as possible. In distributing surplus, the direct producers must possess a voice and all the important decisions should be taken through assembly in a democratic manner. Additionally, checking whether subject-cultivation is happening in these enterprises is also another important point. In this regard scholars have asserted:

What is salient here is a tendency to argue from an essentialist conception of the nature of cooperatives or of workers themselves, and from a structural vision of economic dynamics and development. Essentialist ways of thinking constrict the ethical space of becoming, obscuring possibilities of (self) cultivation and the way that cooperative practice itself calls forth and constitutes its own subjects (Gibson-Graham, 2006b, p.111).

Working need not be only about the production of goods and services; work or employment also affects the workers. This is why employment relationship and organisational practices have important bearings on ‘subject cultivation’. In such enterprises which adhere to the logic of economic democracy, that is, where workers take participatory roles in decision-making, the workers may perform as real and conscious actors in the production by actively taking part in the decision-making process. It is in this way that subject cultivation happens.

III. Empirical Findings

Since poverty is a site of intense contest, and distributional struggle is also rampant against the incarceration of the fruits of growth to only some specific pockets; presently, poverty management through Microfinance Institutions and other such institutions have been hegemonizing the poverty alleviation discourse. Here, from the Marxian class-focused approach, an alternative discourse for poverty alleviation can be extended which banks on collective and bottom-up democratic approaches by contesting the technocratic approaches of poverty management. Enterprises in the SSE sector in India can be viewed from this angle and the elaboration of some

case studies from this sector would shed further light on this issue. Hence, three case studies have been presented. They should be able to provide fresh insights and enhance our understanding of the SSE sector. These three cases span over the agricultural sector—a Farmers' Producer Company (FPO), informal manufacturing sector—handloom weaving cooperatives and a broad-based all-encompassing initiative of collective living—Timbaktu Collective.

Case 1: Velliangiri FPO (VUPCL)

In 2002, the Producer Company Act was introduced as an Amendment to the Indian Companies Act, 1956, for the benefit of primary producers such as farmers who practice agriculture, horticulture, floriculture, etc. and people involved in handloom, handicrafts and cottage industries. Throughout the 1990s, problems such as rising input costs, uncertain production yields, low productivity, mounting indebtedness, lack of irrigation facilities and the opening up to global competition resulted in serious rural distress, agrarian crisis and consequent farmers' suicides which forced the central government to rethink the issues of saving farmers' lives, saving Indian agriculture and addressing rural distress. One pertinent institutional innovation in response to the aforementioned problems was the notion of FPO (Singh, 2008).

Small and marginal farmers (or other primary producers) could join as members of a FPO. Here, the performance of a particular FPO, Velliangiri Uzhavan Producer Company Limited (VUPCL), is presented as an example for understanding the Indian SSE sector. VUPCL is situated in the Thondamuthur block of Coimbatore district in Tamil Nadu (Pandian, 2018). The Coimbatore region has a rich tradition of horticulture and coconut production. Here, the local small farmers were facing three kinds of problems—one, due to the unorganised nature of farming, an AB class process was mainly in place. As a result, marketing agents were exploiting the primary producers and super-exploitation often took place; two, the uneducated farmers were systematically cheated by the input suppliers who forced them to buy more chemical fertilisers and pesticides in order to increase their own sales, as a result of which the farmers' cost of production increased; a third and consequent problem emerged with the over-application of chemicals in the land. Problems of soil erosion transpired and environmental degradation was occurring at a rapid pace.

The FPO was first conceptualised in order to arrest such problems. Then, the Isha Foundation, a local spiritual organisation, took the initiative to visit all the nearby villages and conduct meetings with the local farmers, as part of their (Isha Foundation's) outreach activity for the local people. Eventually, once the idea of forming an FPO gained ground in the villages, clusters of villages were formed and cluster level meetings were held. Consequently, with the help of the Small Farmers Agribusiness Consortium, Agriculture, Horticulture Department, New Delhi, VUPCL was formally registered in 2013, with 250 farmer-members and 25 lakhs in share capital. A yearly general meeting, monthly cluster meetings and regular village level meetings have been conducted ever since its inception in

order to stick to the bottom-up approach and uphold transparency in operations. VUPCL has a board of directors to look after the interests of the farmer-members. This board also oversees the functions of the chief executive officer (CEO). Moreover, it employs an agronomist whose job is to guide farmers' regarding the number of input requirements. Adhering to the principle of economic democracy, the agronomist, the CEO and the other employees of the VUPCL are answerable to the farmer-members. In order to address problems in the input market, VUPCL has established its own input selling shop that sells inputs at cheaper rates than the open market as the shop runs with minimum profits.

In concrete terms, some of the positive effects of forming this FPO can be pointed out. First, the farmer-members following this AC class process can retain a portion of their surplus-value which would have been extracted by the merchants or marketing agents otherwise under the erstwhile AB class process. Second, farmers have been able to collectively gain more control over the production process after the establishment of the input selling shop. In this way, the extracting practices of the input sellers could be addressed. Third, by employing their own agronomist, the unnecessary usage of extra amounts of chemical fertilisers and pesticides has reduced significantly, which has had a beneficial impact on the environment by addressing the issue of soil erosion. By 2018, the number of farmer-member in this enterprise increased to 1063 and it achieved a ₹7.91 crore annual turnover (during the financial year 2017–2018), which is the highest in the state of Tamil Nadu (Pandian, 2018).

Hence, without altering the ownership structure, the primary producers have been able to improve their situation by altering the organisational structure from an individualistic production and marketing structure to a collective production and marketing one. This case study of VUPCL shows that it is possible to organise the small and marginal farmers and address their problem of viability in farming by following a democratic and decentralised decision-making process and by developing a community and environment-friendly non-exploitative enterprise.

Case 2: Handloom Weavers' Cooperatives

A primary survey was conducted in the year 2017 in two prominent handloom hubs of West Bengal, one in Dhaniakhali block of Hugely district and another in the Santipur block of Nadia district (Bhowmik & Chakraborty, 2019). In Dhaniakhali block, two cooperatives were studied—'Dhaniakhali Union Tant Shilpi Somobay Samiti' and 'Somaspur Union Cooperative Weavers' Society Limited'. These cooperatives were established through a social movement during the 1940s against the oppression of master weavers (i.e., middlemen) in the area, that is, they were established through a movement against the exploitative AB class process, which was then replaced by a non-exploitative class process. Moreover, due to the pressure of this movement, master weavers or middlemen were ousted from the Dhaniakhali region ever since. Even now, the dominant class process is the cooperatives' CC class process, whereas the AB class process is largely absent in this area.

In the handloom weaving sector, broadly three different class structures are observed. These are—AA (Independent weaver), CB or AB (Master weaver or middleman) and AC or CC (Cooperatives). The primary survey of this author found that there has been a progressive erosion of the AA class process over time and its subsequent replacement has mainly been the exploitative AB class process. Under this AB class process, the issue of super-exploitation is a serious problem. Moreover, since handloom weaving is a home-based production system, the issue of unpaid labour of family members, especially the unpaid labour of women, is a crucial component in production. In the pre-weaving processes, women play a very important role in handloom-weaving households, almost without any wage or recognition. Different mechanisms have been followed in order to extract surplus labour in a major segment of the handloom weaving industry in which the AB exploitative class process is followed. First, the piece-rate contract is designed in a way that forces the workers to extend the length of their working-day and, as a result, absolute surplus labour can be extracted. Second, by appropriating labour performed by women in helping, it is in turn invisibly appropriated by the middlemen. Third, by subverting various non-class processes, such as by subverting the legal processes and illegally copying handloom designs in the power-loom sector and, consequently, by threatening the handloom weavers about the competition of power-looms, downward pressure has been exerted on the wages of the handloom weavers. It has been reported almost unanimously during the primary survey that competition with the power-loom sector is a huge challenge for the handloom weaving industry. The Handloom Reservation Act (1985) has clearly notified 11 varieties of cloth that can be produced solely by the handloom weavers; these notified varieties cannot be produced by weavers in the power-loom sector (Srinivasulu, 1997). But this particular Act is clearly subverted through the uncompromising use of power-looms and the making of the same variety of clothes and their sale at a much cheaper price. Such an instance of subversion by mocking an act shows the important bearings that a non-class process can have on existing class processes.

In the cooperatives of Dhaniakhali, weaver-members elect a governing body, elections are conducted at regular intervals and crucial decisions are taken collectively. The social movements that resulted in the formation of cooperatives in Dhaniakhali also caused the systematised relationship of the weavers' collective with the government. As a result, in comparison to weavers working under the scaffold of the master weavers (AB class process), these cooperatives (CC class process) could implement many government schemes better. These cooperatives procure yarn from the government's yarn producing company and implement various government schemes for the weaver-members'—such as weavers' credit card, life insurance scheme for the weavers, health insurance schemes for the weavers, scheme for reimbursing educational expenses of weavers' children, etc. Moreover, these cooperatives often take part in the expos and fairs that are organised by the government (Bhowmik & Chakrabarti, 2019).

Furthermore, in Dhaniakhali, weavers seemingly have an attachment towards cooperatives which are of the non-pecuniary kind. The weaver-members of Dhaniakhali still recount their struggle against the exploitative practices of master

weavers or mahajans and the subsequent establishment of cooperatives. ‘We have evicted exploitative master weavers or mahajans from Dhaniakhali and they are still not allowed to function here’—proudly asserts one cooperative office-bearer in Dhaniakhali.

Factors such as pride, engagement and cohesion with cooperatives in Dhaniakhali may be important nodal-points regarding subject cultivation. ‘Here it is true that our earning is not much, yet the cooperative is providing almost year-long jobs and, as a weaver, I like to be a part of the cooperative. After all, you see, it is a skilled job that I am doing here, it is not just an unskilled job like a shop-keeper or an unskilled construction worker’—says Ramesh Adhikari (name changed) from Dhaniakhali, a weaver-member of one of the cooperatives.

Other than this, the non-class processes such as caste have also played an important role in the handloom weaving industry; the dominance of the sub-group *Basak* is noteworthy, particularly in producing high-value fabrics, especially in the handloom hub of Fulia-Santipur in the Nadia district. It has been reported that in the Fulia non-class process like political process (here political party affiliation), has become very important to obtain membership in handloom cooperatives. Also, a counter-movement, driven by the middlemen or master weavers, is going on in order to transform the CC class process of cooperatives into an AB class process by capturing the cooperatives and turning them into namesake cooperatives which would effectively be run by the master weavers (Syamasundari & Mukund, 2008). That is why a scholar like Mahendra Dev (Dev et al., 2008), has pointed out that handloom cooperatives are the best safeguard for handloom weavers in order to protect themselves from the exploitative practices of master weavers or middlemen.

Hence, it is clear from earlier discussion that in the informal small-scale manufacturing sector, the formation of cooperatives could happen earlier through social movements. Moreover, direct producers could collectively articulate themselves in a coherent way such that the state responds with favourable schemes for these producers. Furthermore, the two cooperatives under study here have been able to maintain a non-exploitative class process for more than seven decades and this may stand as a testimony of the success of these cooperatives.

Case 3: Timbaktu Collective

The Timbaktu Collective is a good example in the realm of SSE. It consists of many collective enterprises such as an FPO, a thrift cooperative society by women, a labour collective, a collective certification system, etc. It is an excellent example of impactful leadership of individual/s in transforming the lives of the poorest of the poor in the rural areas of Ananthapuramu district in Andhra Pradesh. Some decades ago, the area was barren, poor and underdeveloped, and then, with the establishment of the Timbaktu Collective (Kothari, 2018), this area was transformed with vegetation, farming and much more within a short period of time. This author has visited this place and conducted informal discussions with Mr. C.K. Ganguli (Bablu Ganguli), whose visionary leadership has changed this area drastically. Along with his wife Mary Vattamattam, he has worked with the

poor people in that region and brought thousands of them under the collective in various capacities.

Under the SSE form, this Timbaktu Collective has focused on promoting non-exploitative class processes by building upon collective farming through establishing marketing cooperatives, that is, by promoting AC class processes. Other than this, it has focused on working on other non-class processes as well, such as their focus on gender issues, and have attempted to empower women through various collective processes.

It is important to point out the issues and problems that had been afflicting the rural poor in the region before the beginning of the Timbaktu Collective. First, since the region is drought-prone with minimal rainfall, farming was very uncertain. Earlier, farmers often failed to repay their loans owing to crop failure and, as a result, were blacklisted by banks and other such institutions due to which they could no longer get credit from these institutions (Kothari, 2018). Thus, the farmers had to depend on local moneylenders which, in turn, increased the cost of borrowing and exacerbated the problem of indebtedness. Second, the traders were also willy-nilly cheating the farmers in this area. Moreover, the problems multiplied as these traders formed interlocking markets by controlling output–credit–input channels, and it became extremely difficult for the farmers to come out of the stranglehold of such oppressive agents. Third, due to the policies of the government and the presence of bigger players in the value chain, these farmers had no control over market forces and, thus, lost in a big way. Fourth, such a situation of poverty and uncertainty in the production process led to problems within households, because women faced harsh treatments as they had no other opportunity but to perform unpaid labour—within households and outside it—without any acknowledgement or dignity.

In such a bleak situation, the Timbaktu Collective was formed by some grassroot level activists who were interested in building constructive and sustainable farming communities. In the year 1989, they bought 32 acres of land in the Ananthapuramu district of Andhra Pradesh, near Chennethapalli. Although land and agriculture were their primary concern, they soon realised the intertwined relationship of poverty–land–agriculture and the marginalisation of women. They started with a few villages and today, the Timbaktu Collective consists of 172 villages. Presently, the Collective employs 120 staff members, who are all local people, and has not received any government support so far.

There is a marketing cooperative for the farmers, the ‘Dharani Farming and Marketing Mutually Aided Cooperative’. Apart from this FPO, there is yet another interesting institutional mechanism, that is, Participatory Guarantee System (PGS), for the certification of organic crops. This is about a collective certification procedure for organic crops following a joint liability type principle. The Timbaktu Collective has taken the initiative of organic farming very seriously and, in order to implement organic farming practices, the institutional mechanism of PGS has been innovated and implemented rigorously. Just like self-help groups (SHGs) in microfinance, here, groups of farmers in the neighbouring lands (each group containing five farmers and called Brundams) keep a close watch on their adjacent

fields to ensure the implementation of organic farming practices and check for any violation with regard to switching to chemical fertilisers. Moreover, organic field workers and coordinators of the Timbaktu Collective also check the fields on a regular basis. Inspection sheets with recommendations for approving or denying certification by Brundams are submitted to a Sangha (a Sangha consists of many Brundams and each village consists of two Sanghas). For the violating farmers, the penalty is that they cannot continue as a group member or can only be repatriated after practising three years of organic farming. Regarding certification and methodology under PGS, several training programs have been organised on behalf of the Timbaktu Collective for the participating farmers. The consolidated data then has to be sent to the Secretariat of the PGS Organic Council and, upon approval, the Sanghas receive certification. For the first three years, it is certified as 'organic in conversion' and from the fourth year, it is certified as 'organic'. By 2016, organic farming had spread over 43 villages, spanning 8700 acres of land and comprising of 1620 farming families. This collective certification mechanism, that is, PGS, is less costly than the other available certification processes. Further, it helps to maintain the AC class process in a less costly way by managing the non-class process of certification.

Under the guidance of the Timbaktu Collective, the 'Adishakthi Mutually Aided Thrift Cooperative Society' of women, a thrift society, was registered in 1997–1998 in Kondakindapalli village. It was built in order to develop savings habits among poor rural women and in order to provide them with cheap credit. It is a successful endeavour and, presently, has 5910 members with a capital base of ₹6.98 crores. This type of intervention in non-class processes like gender often improves the situation of women and, within the household, their status and dignity may improve as well. Since the Timbaktu Collective has an alternative vision of holistic development, with such initiatives, the coordinators of the collective often help members in solving household disputes, domestic fights, etc. (Kothari, 2018).

From the aforementioned analysis, it transpires that the Timbaktu Collective, as a part of the SSE sector, is instilling the core values of collective, social and solidarity in their day to day practice and influencing class and non-class processes in an effective way.

IV. SSE and Class Struggle

In the Marxian class-focused approach, class struggle is not about a struggle between two homogeneous groups, rather it is conceptualised in connection to the processes of surplus labour. The creation, appropriation, distribution and receipt of surplus labour are the primary topics of class struggle here. Nonetheless, in order to promote a struggle for social transformation, it is also important to address the struggles in the sphere of the non-class processes—such as culture, nature, caste, gender, etc. SSEs attempt to get involve deeply into both these types of struggles.

In this regard, the search for a new language and imagination for trade unionist activism has been acknowledged so far (Chakrabarti & Dhar, 2008a); some of the new initiatives such as the initiatives by Self Employed Women's Association (SEWA), New Trade Union Initiative (NTUI) and few other trade unions are also noteworthy as they move in the direction of organising the workers in the informal sector. In this regard, SSE in the concrete forms, such as cooperatives, FPOs, mutuals and SHGs, encapsulate non-exploitative class and non-class processes. So far, irrespective of whether they are Marxist or non-Marxists, no trade union has questioned the site of the factory as the site of working-class struggle and, thus, it has remained the dominant subject of class struggle (Bhowmik, 2019). Two shortcomings can be pointed out regarding the conceptualisation of class-struggle hitherto—one, the factory is the main site of class struggle and two, the industrial proletariat is the principal focus and would be the vanguard of the class struggle as well as for the consequent revolution. Moreover, thus far, struggles of all other groups—such as peasants, petty producers, women and issues such as caste, gender, religion and ethnic groups—have found a secondary place in comparison to the industrial proletariat in the discourse of class struggle. The class-focused Marxian approach liberates Marxian theory from such limitations and the impasses they introduced.

Rethinking about a new path of class-struggle is unavoidable—including trade unions (combining traditional and new ones), SSEs and political parties fighting for workers'—and together, these three sections can form an overdetermined triangle. Using this triangle and following the class-focused Marxian approach, a rethinking of class-struggle and non-class struggle may be comprehended in the following concrete ways. First, the predominance of AA and AB class-processes in the Indian informal sector is well-known by now and, hence, trade unions and political parties can pressurise the government for the flow of cheaper credit for the producers in these AA and AB class processes; another way the trade unions or political parties may intervene is via the SSE route, by establishing new

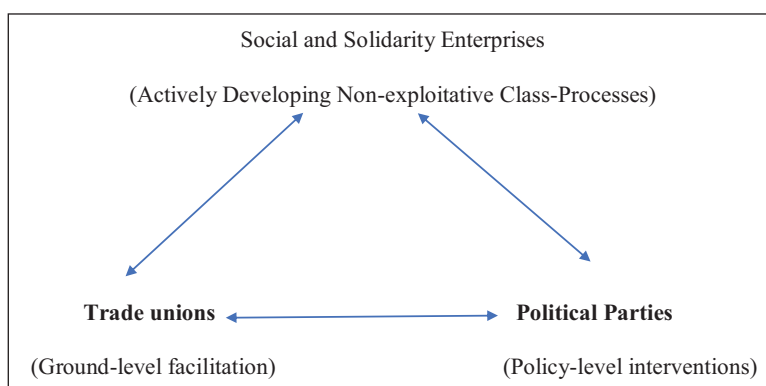


Figure 1. Triangle of Class and Non-Class Struggle

Source: The author.

cooperative banks or by working with some existing credit cooperatives or banks for specifically this purpose. Second, under the current GST regime of taxation, such small producers under AA and AB are facing trouble in terms of conceptualising and tax filing; further, even those not going to file are facing trouble in input procurement; hence, here, the SSE sector can institutionally facilitate these producers in this regard and, trade unions and political parties may pressurise the government in order to simplify the procedures under GST; moreover, political parties may fight for tax benefits for these small producers. Third, such organisations may push for providing training to the workers so that they can adopt new technologies for production. For example, in this regard, it must be noted that due to such struggles, a training institute for handloom weavers has been established by the government in Fulia; such training arrangements have also been conducted for the farmer-members in FPOs. Fourth, interventions can be possibly thought of in non-class processes, for example, through legal process protection and preservation of livelihood. One such example is in the handloom weaving sector where a long-term struggle is underway on behalf of the weavers' organisations for the proper implementation of the Handloom Reservation Act (1985) which says that 11 items, which are specifically demarcated for production only by the handloom weavers, cannot be produced by the power-loom weavers in India. In spite of such an existing act, gross violations continue to happen and handloom organisations still struggle for its better implementation. Other trade unions and political parties can also support such struggles (some trade unions and political parties are already supporting this struggle). Fifth, SSEs, trade unions and political parties may play the role of vigilante in protecting and preserving AA, AC and CC—the non-exploitative class processes—and any initiative of transforming these towards exploitative class processes, such as AB or CB, should be defended against. Sixth, the issue of super-exploitation (in which the direct producer is not able to get his/her necessary labour equivalent) should be addressed by the bottom left corner of the triangle, that is, trade unions or similar organisations can address such issues of super-exploitation through ground-level interventions. Seventh, more and more non-exploitative class processes should be created or existing exploitative class processes should be transformed towards non-exploitative class processes. For example, by involving SSE, that is, by developing marketing cooperatives, existing AB class processes can be transformed towards AC class processes. Eighth, other than addressing such class and non-class processes, the general social needs of the poor primary producers can also be addressed well by the top corner of the triangle, that is, by the SSEs and by the bottom right corner of the triangle by political parties by pushing for policy-level interventions. For example, in the SSE sector, handloom cooperatives implement government schemes—such as educational expenses of weavers' children, life insurance and health insurance for weavers', old-age pension for the weavers—which are all results of long term struggles by trade unions and political parties; these schemes have been implemented well through SSEs such as handloom weavers' cooperative societies.

By invoking and stitching the transformative politics with the roles of SSEs, such issues can be potentially addressed. Consequently, SSEs may be effective in

organising serfs, peasants, self-employed individuals, domestic workers, women, slaves, bonded labour, child labour, etc. Furthermore, it is ostensibly important to acknowledge that the present process of ongoing industrialisation in India is promoting all these diverse labour practices and thus, the proliferation of the industrial working class is seemingly a myth for the Indian economy. In this situation, it may be far-fetched to wait for the emergence of a revolutionary industrial proletariat who can lead the class struggle for a big-bang transformation of the capitalist system; rather, the immediacy of concrete condition of India's working people invites us to seriously rethink transformation from the ground level, aiming at micro-changes in the existing class and non-class processes (Chakrabarti & Dhar, 2008b; Gibson-Graham, 2006a).

From the analysis, it is possible to point out several issues regarding the impacts of SSEs on class struggle. First, any movement towards the exploitative to the non-exploitative class processes is a crucial component of class struggle. It has been shown that, through the establishment of the FPO (VUPCL), the AB class process has been transformed by the AC class process. A similar scenario took place for handloom weavers of Dhaniakhali as well; there too, the AB class process has been replaced by the CC class process. Hence, in this way, producers' cooperatives, producer companies—all of which are components of the SSE sector—can transform the economic scenario from the exploitative to the non-exploitative class processes.

Second, in case of intervention based on credit provisioning to women, the condition and dignity of women improved at home. Hence, especially within AA or AB class processes, it has a significant impact. In the Timbaktu Collective, the overall impact in order to create non-class processes at various levels—in terms of collective certification of organic agriculture and cooperative banks for women—have been undertaken and all this may have significant impacts on cultural, political and natural non-class processes.

It is clear from the case studies that the role of the facilitating agency is extremely vital in the formation of SSEs such as cooperatives or FPOs and, hence, here arises the role of organisations with the objective of socioeconomic transformation who can act as facilitating agencies in setting up of all these FPOs and other non-exploitative enterprises within the SSE sector.

V. Conclusion

Rather than providing concluding observations, this article has mainly hoped to open a new line of enquiry and raised the following deeper questions in the Indian context. How do we address the issue of rampant super-exploitation happening under the home-based AB class process? How do we transform such AB class processes to either the AA or AC or CC type arrangements? How do we address the issue of oppression and appropriation of unpaid female labour under the AB or even under the AA process? How do we address the issues of unpaid female

labour and child labour? How do we address the issues regarding environmental degradation? Can the SSE sector in India offer models that can invite a discussion on addressing some such issues? By foregrounding the notion of entrepreneurship of individuals, is it fair to foreclose the impact of social movements behind the emergence of different firm organisations? SSEs are often outcome of erstwhile social movements, yet overarching importance on individual entrepreneurship often conceals the importance of such social movements in shaping other kinds of firm organisations.

Eighty years after Ronald Coase's seminal article, *Nature of Firm* (Coase, 1937), it is tempting to reiterate some questions in the context of the prevailing diverse organisations in the informal sector in India. What is a firm anyway? Is it just a production organisation? Is a firm in rural India just an economic organisation (Chakrabarti & Dhar, 2008)? Does society matter in the emergence of a firm? Do we not need a social theory of firm so that the interface of the SSE sector and the traditional sector of production can be explored with further in-depth analyses? From a variety of experiences, it must be noted that especially in a developing country, a firm is not only an economic organisation; rather, it has various social implications. Also, a truncated understanding of the efficiency in production may not be able to reveal much about the coexistence of various class processes in developing countries.

Following a similar line of enquiry as Dash (2015), who called for an epistemological revolution in order to study diverse processes within the SSE sector and further pointed out towards the inability of orthodox economics to enlighten the practices in the SSE sector, this article has deployed the class-focused Marxian approach. It is not easy to comprehend the existing diversity within the Indian SSE sector. It has been argued here that the class-focused Marxian framework is suitable to study the SSE sector in India due to its decentred, dis-aggregated approach.

How do we conceptualise the successes and failures of enterprises within the SSE sector? This is a critical question that needs serious attention, as the simplified idea of efficiency in production is not satisfactory enough to capture all the different dimensions that are covered by enterprises within the SSE sector. This article focuses on generating some broad-based criteria for conceptualising and assessing the successes and failures of enterprises within the SSE sector. One crucial point in this regard is that sustaining non-exploitative class processes (AC or CC) for a considerable period of time is a good measure of the success of an enterprise within the SSE sector. Three case studies have been analysed here with sufficient detail, these are—an FPO, handloom weavers' cooperatives and the case of Timbaktu Collective. Such interventions have been analysed with reference to their impacts on the existing class processes and non-class processes. Are these initiatives able to establish non-exploitative class processes? The answer to the question is in the affirmative and, corresponding to the criteria of assessing successes and failures, all these initiatives come under successful enterprises within the SSE sector in India. Just as existing praxis needs theorisation, the

deployment of existing theory in analysing such praxis can also germinate novel insights that can help the future course of action for transforming rural communities in India. By following the triangle in Figure 1—for SSEs, trade unions and political parties—some concrete avenues of intervention in order to facilitate class struggle and non-class struggles have been clearly pointed out.

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Notes

1. There are many definitions of cooperatives. Yet, from the standpoint of Marxian class process literature, a cooperative enterprise has been defined in the following way: ‘... the appropriation and distribution of the surplus are done cooperatively and that the workers who cooperatively produce the surplus and those who cooperatively appropriate and distribute it are identical’ (Wolff, 2012, p. 82).
2. Non-class processes include caste, gender, cultural processes and various political processes—these are some of the important non-class processes in India and these processes usually create conditions of existence for the existing class-processes.

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